

# TCS

TATA CONSULTANCY SERVICES LTD

NSE: TCS | BSE: 532540

Sector: Information Technology

Analysis Period: FY2021 – FY2025

Data Source: Screener.in, NSE India

Tool: Microsoft Excel + Data Analysis ToolPak

By – Prachi Agarwal

# Comprehensive Financial Performance Analysis

A five-year empirical study of TCS across revenue growth, profitability, solvency, efficiency, valuation, and strategic outlook.

**₹2,55,324 Cr**

FY2025 Revenue

**19.0%**

Net Margin

**0.10x**

Debt-to-Equity

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# Company Snapshot — Tata Consultancy Services Ltd

## About TCS

**Founded in 1968** and listed on NSE & BSE in 2004, TCS is India's largest IT services company and the world's second-largest by market capitalisation.

Parent company

**Tata Sons** holds approximately 72% stake. TCS operates across 55+ countries and employs ~6,07,000 professionals globally.

**Key verticals:**

BFSI (~40%), Manufacturing, Retail, Technology, Healthcare and Energy.

**Key geographies:**

North America (~55%), Europe (~28%), Asia-Pacific (~17%).

## Key Corporate Facts

|                     |                      |
|---------------------|----------------------|
| NSE / BSE           | TCS / 532540         |
| Incorporated        | 1968   Listed 2004   |
| Market Cap (FY2025) | ~₹13,05,000 Cr       |
| FY2025 Revenue      | ₹2,55,324 Crores     |
| Employees           | ~6,07,354 globally   |
| Credit Rating       | CRISIL AAA (highest) |
| Countries           | 55+ globally         |
| Dividend Yield      | ~3.5–4.0% (FY2025)   |

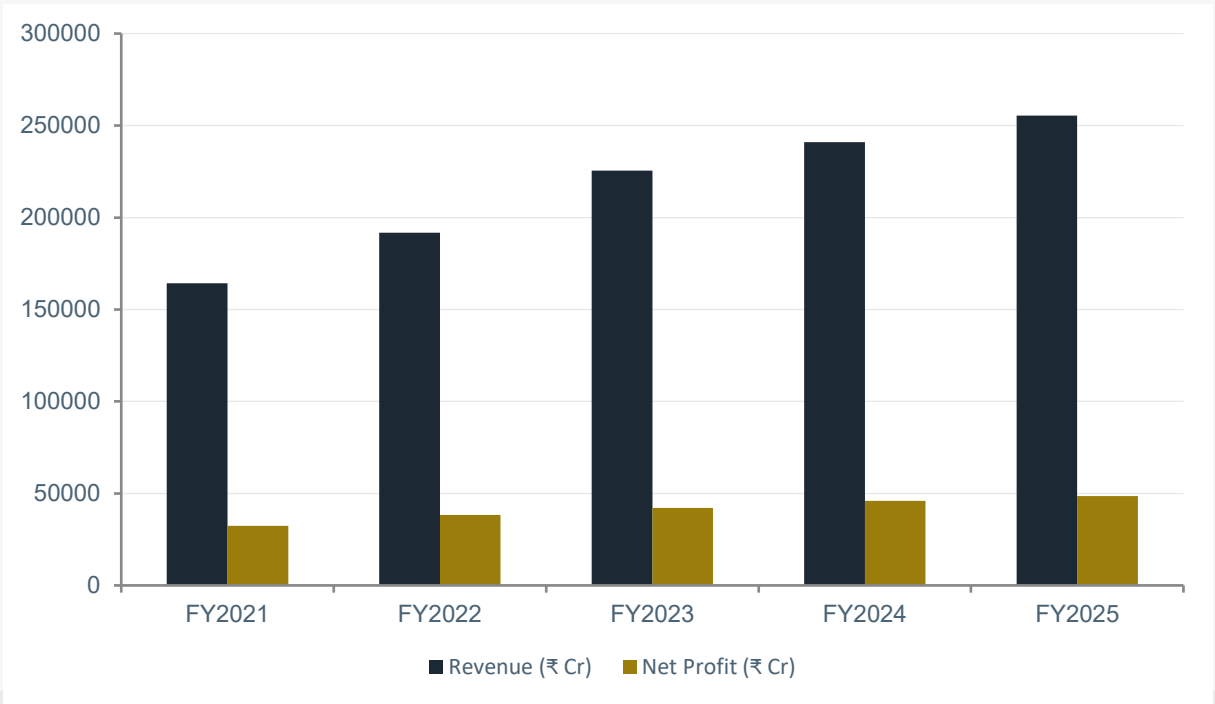
# Revenue & Net Profit Growth | FY2021 – FY2025

**₹2,55,324 Cr**  
FY2025 Revenue

**11.7%**  
Revenue CAGR

**₹48,553 Cr**  
FY2025 Net Profit

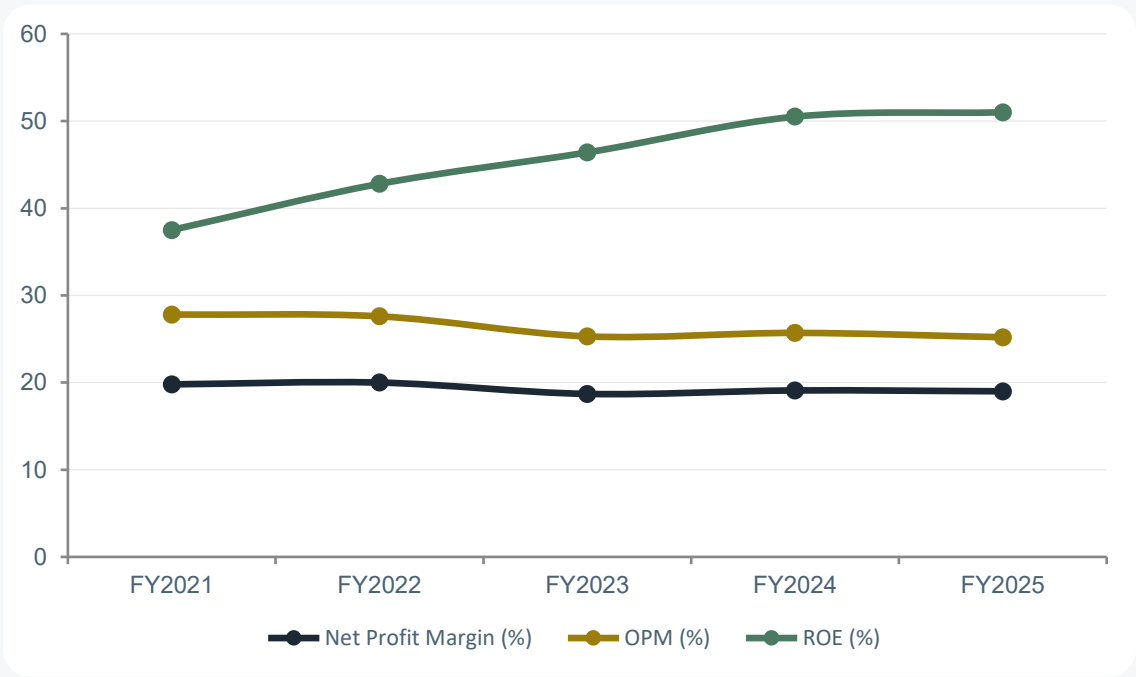
**10.6%**  
Profit CAGR



## Year-on-Year Growth

| Year   | Revenue      | Net Profit |
|--------|--------------|------------|
| FY2022 | ₹1,91,754 Cr | ₹38,327 Cr |
| FY2023 | ₹2,25,458 Cr | ₹42,147 Cr |
| FY2024 | ₹2,40,893 Cr | ₹45,908 Cr |
| FY2025 | ₹2,55,324 Cr | ₹48,553 Cr |

# Profitability Analysis | Margins & Return Ratios



Key Insight: ROE has expanded from 37.5% to 51.0% over five years — driven by earnings growth and capital return through dividends and buybacks. Net margins remain exceptionally stable at ~19%, confirming strong pricing power.

## Key Ratios at a Glance

| Metric            | FY2021 | FY2025 |
|-------------------|--------|--------|
| Net Profit Margin | 19.8%  | 19.0%  |
| EBITDA Margin     | 30.3%  | 27.7%  |
| Return on Equity  | 37.5%  | 51.0%  |
| Return on Assets  | 24.9%  | 30.6%  |
| Return on Capital | 30.5%  | 40.6%  |
| Current Ratio     | 2.20x  | 1.89x  |
| D/E Ratio         | 0.09x  | 0.10x  |
| Interest Coverage | 68.7x  | 82.1x  |

# FY2025 KPI Dashboard | Key Performance Indicators

₹2,55,324 Cr

Revenue (Net Sales)

₹48,553 Cr

Net Profit (PAT)

19.0%

Net Profit Margin

51.0%

Return on Equity (ROE)

₹134.19

Earnings Per Share (EPS)

0.10x

Debt-to-Equity Ratio

₹48,908 Cr

Cash from Operations (CFO)

82.1x

Interest Coverage Ratio

₹3,606

Stock Price (Year-End ₹)

26.9x

Price-to-Earnings (P/E)

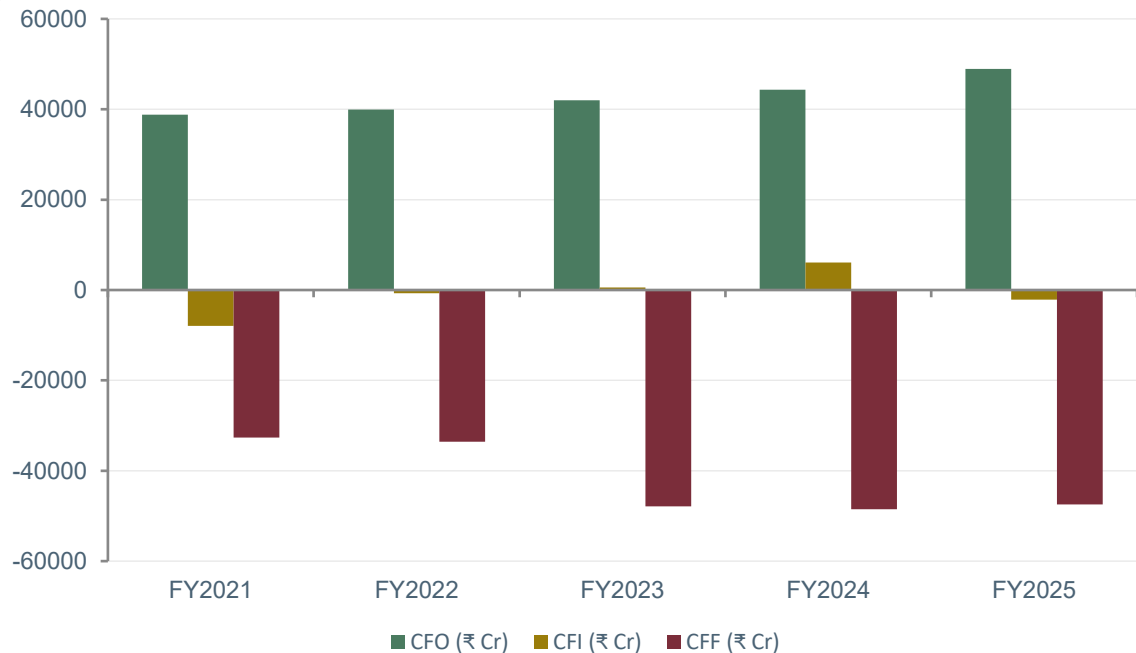
94.0%

Dividend Payout Ratio

~₹13,05,000  
Cr

Market Capitalisation

# Cash Flow Analysis | FY2021 – FY2025



## Key Observations

### CFO Strength

Operating cash flow has grown from ₹38,802 Cr in FY2021 to ₹48,908 Cr in FY2025 — a CAGR of 5.9%. CFO consistently exceeds net profit (ratio >1.0x), confirming high earnings quality.

### Capital Returns

Cash from financing (CFF) is negative every year, reflecting dividend payments and share buybacks totalling ₹47,438 Cr in FY2025 alone — a shareholder-first capital allocation policy.

### Investment Activity

CFI turned positive in FY2023–24 due to liquidation of short-term investments. FY2025 saw renewed investment outflows — consistent with maintaining the asset base.

# Statistical Analysis | Regression & Forecast

## Linear Regression Model — $Y = m \cdot X + b$ | Year Index: FY2021 - FY2025

| Variable          | Slope (m) | Intercept (b) | R <sup>2</sup> Value | FY2026 Forecast | FY2027 Forecast |
|-------------------|-----------|---------------|----------------------|-----------------|-----------------|
| Revenue (₹ Cr)    | 23,143    | 1,46,091      | 0.9689               | ₹2,84,951 Cr    | ₹3,08,094 Cr    |
| Net Profit (₹ Cr) | 3,983     | 29,525        | 0.9796               | ₹53,421 Cr      | ₹57,404 Cr      |

Formula applied: FY2026 Revenue = 23,143 × 6 + 1,46,091 = 2,84,951 | FY2027 = 23,143 × 7 + 1,46,091 = 3,08,094 | Both R<sup>2</sup> values exceed 0.96 — very strong fit

## 3-Year Moving Average — Revenue & Net Profit Smoothing

| Metric                      | FY2021 | FY2022 | FY2023 (MA) | FY2024 (MA) | FY2025 (MA) |
|-----------------------------|--------|--------|-------------|-------------|-------------|
| Revenue — 3-Yr MA (₹ Cr)    | N/A    | N/A    | 1,93,796    | 2,19,368    | 2,40,558    |
| Net Profit — 3-Yr MA (₹ Cr) | N/A    | N/A    | 37,635      | 42,127      | 45,536      |

### Correlation Highlights

**Revenue vs Net Profit:  $r = 0.998$**  Very strong — profits scale tightly with revenue. **Revenue vs CFO:  $r = 0.985$**  Revenue growth converts efficiently into cash. **Net Profit vs CFO:  $r = 0.976$**  Confirms high quality of TCS's reported earnings.



# Risk Assessment | Financial Health Monitor

## Debt-to-Equity

SAFE

0.09x → 0.10x

Consistently near-zero. No leverage risk. TCS is effectively debt-free.

## Interest Coverage

SAFE

68.7x → 82.1x

Exceptional coverage. Operating profit is 82x the interest expense in FY2025.

## Net Profit Margin

SAFE

19.8% → 19.0%

Stable in a tight 18.7–20.0% band across all five years — strong pricing power.

## Revenue Growth (YoY)

WATCH

16.8% → 5.9%

Decelerating from FY22 peak. Reflects macro headwinds — not market share loss.

## CFO / Net Profit

SAFE

1.20x → 1.01x

Maintained above 1.0x — all reported profits are backed by real operating cash.

## Debtor Days (DSO)

WATCH

67 → 84 days

Rising trend over 5 years. Receivables growing faster than revenue — monitor closely.

## Dividend Payout

WATCH

43% → 94%

High. FY2023 exceeded 100% due to special dividend — funded from reserves, not recurring.

## Borrowings Growth

WATCH

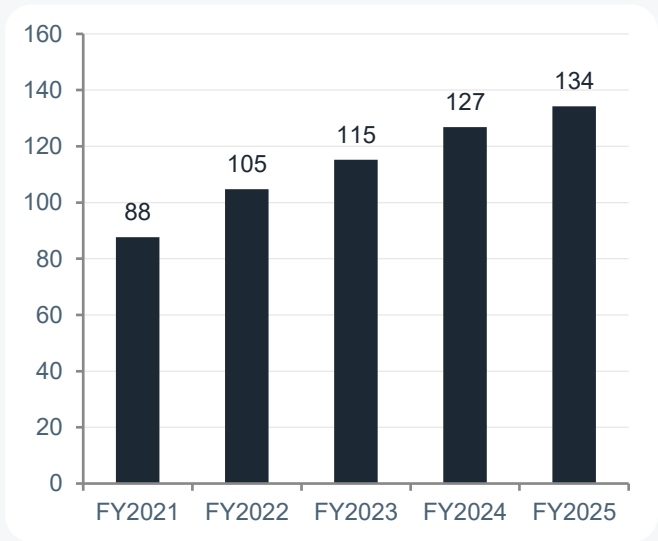
— → +17% FY25

FY2025 increase relates to lease liabilities under Ind AS 116 — not financial debt.

# Valuation Analysis | EPS Growth & Market Ratios

## EPS & Market Data

| Metric          | FY2021    | FY2022    | FY2023    | FY2024    | FY2025    |
|-----------------|-----------|-----------|-----------|-----------|-----------|
| EPS (₹)         | 87.67     | 104.73    | 115.19    | 126.88    | 134.19    |
| Stock Price (₹) | 3,178     | 3,740     | 3,206     | 3,876     | 3,606     |
| P/E Ratio       | 36.2x     | 35.7x     | 27.8x     | 30.6x     | 26.9x     |
| P/B Ratio       | 13.6x     | 15.3x     | 13.1x     | 15.5x     | 13.9x     |
| Div. Payout %   | 43.4%     | 41.1%     | 99.9%     | 57.6%     | 94.0%     |
| Mkt Cap (₹ Cr)  | 11,75,932 | 13,68,099 | 11,73,097 | 14,02,629 | 13,04,960 |



EPS CAGR

~11.2%

FY2021 to FY2025 — strong compounding

P/E (FY2025)

26.9x

Below 5-yr avg — moderate valuation

Verdict

HOLD / ACCUMULATE

On dips below 22x fwd earnings

# Strategic Insights & Recommendations

## For CXOs

### *Strategic Direction*

Re-accelerate revenue via GenAI platform services and hyperscaler partnerships targeting 13–15% growth

Maintain 25–27% operating margin band through automation and offshore delivery optimisation

Sustain structured capital return: dividends + buybacks calibrated below 90% payout ratio

Upskill workforce in GenAI, cloud-native development, and cybersecurity to defend competitive moat

## For Investors

### *Value & Return*

Verdict: Hold / Accumulate on price weakness below 22x forward earnings

Dividend yield of ~3.5–4.0% provides an income floor for long-term portfolios

CFO/PAT > 1.0x confirms high earnings quality — no accrual or recognition concerns

Key risk: prolonged BFSI slowdown and North America budget compression

## For Management

### *Operational Priorities*

Reduce debtor days from 84 to below 75 through tighter contract payment terms and collections focus

Pursue selective M&A in digital engineering and cybersecurity to accelerate capabilities

Diversify revenue beyond BFSI and North America into Manufacturing, Healthcare, and MEA markets

Target 50–100 bps margin recovery through AI-assisted testing and cloud infrastructure migration

# Conclusion

TCS presents a compelling profile as a high-quality, low-risk compounder — delivering consistent revenue growth, exceptional capital returns, and fortress-grade balance sheet strength across five consecutive years.

|                          |                                                       |
|--------------------------|-------------------------------------------------------|
| <b>Revenue CAGR:</b>     | 11.7% — consistent scale-up across all five years     |
| <b>Net Profit CAGR:</b>  | 10.6% — earnings compounding at double-digit rate     |
| <b>Balance Sheet:</b>    | D/E of 0.10x — virtually debt-free enterprise         |
| <b>Earnings Quality:</b> | CFO/PAT > 1.0x every year — fully cash-backed profits |
| <b>ROE Expansion:</b>    | 37.5% → 51.0% — superior capital efficiency           |

*Recommendation: Hold / Accumulate on price weakness. Primary risk: sustained BFSI and North America IT spending slowdown.*

₹2,55,324 Cr

FY2025 Revenue

₹48,908 Cr

Cash from Ops

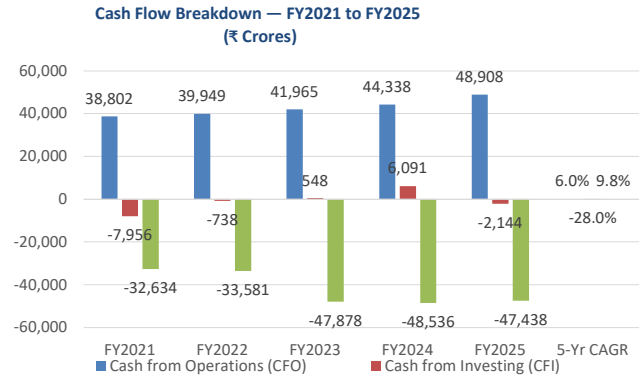
51.0%

ROE (FY2025)

0.10x

Debt-to-Equity

| TATA CONSULTANCY SERVICES LTD   Raw Financial Data   FY2021 – FY2025 |                 |                 |                 |                 |                 |              |
|----------------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|--------------|
| Particulars                                                          | FY2021          | FY2022          | FY2023          | FY2024          | FY2025          | 5-Yr CAGR    |
| PROFIT & LOSS STATEMENT                                              |                 |                 |                 |                 |                 |              |
| Revenue (Net Sales)                                                  | 1,64,177        | 1,91,754        | 2,25,458        | 2,40,893        | 2,55,324        | 11.7%        |
| Operating Expenses                                                   | 1,18,501        | 1,38,713        | 1,68,551        | 1,78,896        | 1,90,881        | 12.7%        |
| Other Income                                                         | 1,916           | 4,018           | 3,449           | 3,464           | 3,962           | 19.9%        |
| Depreciation & Amortisation                                          | 4,065           | 4,604           | 5,022           | 4,985           | 5,242           | 6.6%         |
| Interest / Finance Costs                                             | 637             | 784             | 779             | 778             | 796             | 5.7%         |
| Profit Before Tax                                                    | 43,760          | 51,687          | 56,907          | 61,997          | 65,331          | 10.5%        |
| Tax Expense                                                          | 11,198          | 13,238          | 14,604          | 15,898          | 16,534          | 10.2%        |
| <b>Net Profit (PAT)</b>                                              | <b>32,430</b>   | <b>38,327</b>   | <b>42,147</b>   | <b>45,908</b>   | <b>48,553</b>   | <b>10.6%</b> |
| Dividend Paid                                                        | 14,060          | 15,738          | 42,090          | 26,426          | 45,612          | 34.2%        |
| BALANCE SHEET                                                        |                 |                 |                 |                 |                 |              |
| Equity Share Capital                                                 | 370             | 366             | 366             | 362             | 362             | -0.5%        |
| Reserves & Surplus                                                   | 86,063          | 88,773          | 90,058          | 90,127          | 94,394          | 2.3%         |
| Total Borrowings                                                     | 7,795           | 7,818           | 7,688           | 8,021           | 9,392           | 4.8%         |
| Other Liabilities                                                    | 35,764          | 43,967          | 44,747          | 46,962          | 54,501          | 11.1%        |
| <b>Total Assets</b>                                                  | <b>1,29,992</b> | <b>1,40,924</b> | <b>1,42,859</b> | <b>1,45,472</b> | <b>1,58,649</b> | <b>5.1%</b>  |
| Net Block (Fixed Assets)                                             | 21,021          | 21,298          | 20,515          | 19,604          | 23,053          | 2.3%         |
| Investments                                                          | 29,373          | 30,485          | 37,163          | 31,762          | 30,964          | 1.3%         |
| Other Assets                                                         | 78,672          | 87,936          | 83,947          | 92,542          | 1,03,086        | 7.0%         |
| Trade Receivables                                                    | 30,079          | 41,810          | 49,954          | 53,577          | 59,046          | 18.4%        |
| Cash & Bank Balances                                                 | 9,329           | 18,221          | 11,032          | 13,286          | 15,463          | 13.5%        |
| CASH FLOW STATEMENT                                                  |                 |                 |                 |                 |                 |              |
| <b>Cash from Operations (CFO)</b>                                    | <b>38,802</b>   | <b>39,949</b>   | <b>41,965</b>   | <b>44,338</b>   | <b>48,908</b>   | <b>6.0%</b>  |
| Cash from Investing (CFI)                                            | -7,956          | -738            | 548             | 6,091           | -2,144          | -28.0%       |
| Cash from Financing (CFF)                                            | -32,634         | -33,581         | -47,878         | -48,536         | -47,438         | 9.8%         |
| Net Change in Cash                                                   | -1,788          | 5,630           | -5,365          | 1,893           | -674            | -21.6%       |
| MARKET DATA                                                          |                 |                 |                 |                 |                 |              |
| Stock Price at Year-End (₹)                                          | 3,178           | 3,740           | 3,206           | 3,876           | 3,606           | 3.2%         |
| Shares Outstanding (Crores)                                          | 370             | 366             | 366             | 362             | 362             | -0.6%        |



## TATA CONSULTANCY SERVICES LTD | Strategic Insights & Investment Recommendations

Based on FY2021–FY2025 financial analysis | Recommendations tailored for CXOs, Investors and Operations Management

### FOR CXOs — Strategic Direction & Long-Term Positioning

|                         |                                                                                                                                                                                                                                                            |
|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Revenue Re-acceleration | Revenue CAGR of 11.7% over the period is solid but growth has decelerated to 5.9% in FY2025. Management should prioritise AI-embedded service lines, GenAI platforms, and hyperscaler partnerships to rebuild a 13-15% growth trajectory over FY2026-28.   |
| Margin Preservation     | Operating margins have held in the 25-27% band despite wage inflation — a testament to offshoring efficiency. Continued automation and AI-assisted delivery will be critical to protect margins as onshore delivery mix increases.                         |
| Capital Return Policy   | TCS returned ₹45,612 Cr in dividends in FY2025 alone, underscoring a shareholder-first capital allocation philosophy. The board should continue buybacks alongside dividends to optimise the capital structure and support EPS accretion.                  |
| Talent Strategy         | Employee costs represent approximately 57% of revenue. The shift toward AI-augmented delivery will require significant upskilling investment in GenAI, cloud-native development and cybersecurity — not headcount reduction, but productivity enhancement. |

### FOR INVESTORS — Valuation, Returns & Risk Assessment

|                                             |                                                                                                                                                                                                                                                         |
|---------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Recommendation: Hold / Accumulate on Dips   | TCS trades at approximately 22-26x trailing P/E, offering moderate valuation comfort relative to IT peers. The combination of a 3-4% dividend yield and steady EPS growth (~11% CAGR FY21-25) makes this a quality compounder for long-term portfolios. |
| Earnings Quality — High Confidence          | The CFO/PAT ratio consistently exceeds 1.0x across all five years, confirming profits are fully cash-backed. There is no evidence of revenue recognition aggression or accrual manipulation — a strong positive for fundamental investors.              |
| Balance Sheet — Fortress Grade              | With D/E below 0.12x and reserves of ₹94,394 Cr in FY2025, TCS possesses financial resilience to weather prolonged revenue headwinds, make strategic acquisitions, or absorb a significant capital return programme without stress.                     |
| Key Risk — Client & Geography Concentration | North America contributes approximately 55% of revenues, and BFSI vertical approximately 40%. A sustained US technology spending slowdown — particularly in discretionary IT — poses the primary revenue risk for the near term.                        |

### FOR MANAGEMENT — Operational Performance Priorities

|                                  |                                                                                                                                                                                                                                                                        |
|----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Receivables Management           | Debtor days have increased from 67 to 84 over the five-year period, outpacing revenue growth. Targeted collections improvement in the Europe and BFSI verticals, combined with tighter contract payment terms, should reduce DSO to below 75 days.                     |
| Cash Deployment Efficiency       | With CFO of ₹48,908 Cr in FY2025 and limited capital expenditure requirements, TCS generates substantial free cash flow. Evaluating disciplined M&A in digital engineering, data analytics, or cybersecurity would broaden capabilities and create new growth vectors. |
| Client Diversification           | Revenue dependence on top-10 clients at approximately 32% creates sensitivity to individual client budget cycles. Building a deeper mid-market client base across Manufacturing, Healthcare and Energy verticals would structurally reduce this concentration risk.    |
| Operational Leverage Opportunity | The current cost structure still has room for further leverage. Cloud migration of internal infrastructure, AI-assisted project scoping and testing automation are near-term levers that could contribute 50-100 basis points of margin improvement annually.          |

## TATA CONSULTANCY SERVICES LTD | Risk Indicators & Financial Health Monitor | FY2021 – FY2025

| Risk Indicator             | FY2021     | FY2022     | FY2023     | FY2024     | FY2025     | Threshold Reference                                           |
|----------------------------|------------|------------|------------|------------|------------|---------------------------------------------------------------|
| Debt-to-Equity Ratio       | 0.09x      | 0.09x      | #REF!      | 0.09x      | 0.10x      | Critical: >1.0   Caution: 0.5–1.0   Safe: <0.5                |
| Interest Coverage Ratio    | 71.7x      | 67.7x      | 73.1x      | 79.7x      | 81.0x      | Critical: <3   Adequate: 3–5   Strong: >5                     |
| Net Profit Margin          | 19.8%      | 20.0%      | 18.7%      | 19.1%      | 19.0%      | Weak: <15%   Adequate: 15–18%   Strong: >18%                  |
| Revenue Growth (YoY)       | -100.0%    | 16.8%      | 17.6%      | 6.8%       | 6.0%       | Declining: <5%   Moderate: 5–10%   Strong: >10%               |
| CFO / Net Profit (Quality) | 1.20x      | 1.04x      | 1.00x      | 0.97x      | 1.01x      | Concern: <0.8   Acceptable: 0.8–1.0   Excellent: >1.0         |
| Debtor Days (DSO)          | 66.8719431 | 79.5845197 | 80.8718697 | 81.1796316 | 84.4095737 | Slow: >90   Moderate: 60–90   Efficient: <60                  |
| Dividend Payout Ratio      | 43.4%      | 41.1%      | 99.9%      | 57.6%      | 93.9%      | Unsustainable: >100%   Generous: 60–100%   Conservative: <60% |
| Borrowings Growth (YoY)    | -100.0%    | 0.3%       | -1.7%      | 4.3%       | 17.1%      | High risk: >20%   Moderate: 10–20%   Low risk: <10%           |

### KEY OBSERVATIONS — Risk Assessment Summary

|                          |                                                                                                                                                                                                     |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Balance Sheet Strength   | TCS maintains a near debt-free balance sheet with D/E consistently below 0.12x across the analysis period — well below the 0.5x safety threshold for investment-grade companies.                    |
| Earnings Quality         | CFO/PAT ratio exceeds 1.0x in all five years, confirming that reported profits are fully backed by operating cash flows. This eliminates concerns of earnings manipulation or aggressive accruals.  |
| Receivables Accumulation | Debtor days have risen from ~67 days in FY2021 to ~84 days in FY2025, outpacing revenue growth. This warrants monitoring as a potential early indicator of collection slowdowns.                    |
| Growth Deceleration      | Revenue growth has moderated from 16.8% in FY2022 to 5.9% in FY2025, reflecting broader IT spending caution in key markets (North America, BFSI). Not a red flag in isolation but a trend to track. |
| Dividend Sustainability  | FY2023 dividend payout exceeded 100% of net profit due to a special dividend. This was a one-time capital return event funded by reserves — not a recurring cash flow concern.                      |

TATA CONSULTANCY SERVICES LTD | Statistical & Predictive Analysis | FY2021–FY2025

| A. CORRELATION MATRIX — Revenue, Net Profit, CFO, Borrowings |         |            |       |            |
|--------------------------------------------------------------|---------|------------|-------|------------|
| Variable                                                     | Revenue | Net Profit | CFO   | Borrowings |
| Revenue                                                      | 1.000   | 0.994      | 0.916 | 0.642      |
| Net Profit                                                   | 0.994   | 1.000      | 0.926 | 0.675      |
| CFO                                                          | 0.916   | 0.926      | 1.000 | 0.891      |
| Borrowings                                                   | 0.642   | 0.675      | 0.891 | 1.000      |

| B. LINEAR REGRESSION MODEL — $Y = m \cdot X + b$   $X = \text{Year Index (FY2021=1 ... FY2025=5)}$ |           |               |                      |                        |                        |                                                                                                                                                    |
|----------------------------------------------------------------------------------------------------|-----------|---------------|----------------------|------------------------|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| Variable                                                                                           | Slope (m) | Intercept (b) | R <sup>2</sup> Value | FY2026 Forecast (₹ Cr) | FY2027 Forecast (₹ Cr) | Interpretation                                                                                                                                     |
| Revenue (₹ Cr)                                                                                     | 23,143.30 | 1,46,091.30   | 0.9689               | 2,84,951               | 3,08,094               | Strong fit ( $R^2 \approx 0.97$ ) — projection reliable as baseline.<br>Very strong fit ( $R^2 \approx 0.98$ ) — earnings trend highly predictable |
| Net Profit (₹ Cr)                                                                                  | 3,982.70  | 29,524.90     | 0.9796               | 53,421                 | 57,404                 |                                                                                                                                                    |

| C. FORECAST SUMMARY TABLE — Computed Values (Formula-Linked to Section B) |           |               |                |                        |                        |                            |
|---------------------------------------------------------------------------|-----------|---------------|----------------|------------------------|------------------------|----------------------------|
| Variable                                                                  | Slope (m) | Intercept (b) | R <sup>2</sup> | FY2026 Forecast (₹ Cr) | FY2027 Forecast (₹ Cr) | YoY Growth Implied         |
| Revenue (₹ Cr)                                                            | 23,143.30 | 1,46,091.30   | 0.9689         | 2,84,951               | 3,08,094               | 11.6% (FY26)   8.1% (FY27) |
| Net Profit (₹ Cr)                                                         | 3,982.70  | 29,524.90     | 0.9796         | 53,421                 | 57,404                 | 10.0% (FY26)   7.5% (FY27) |

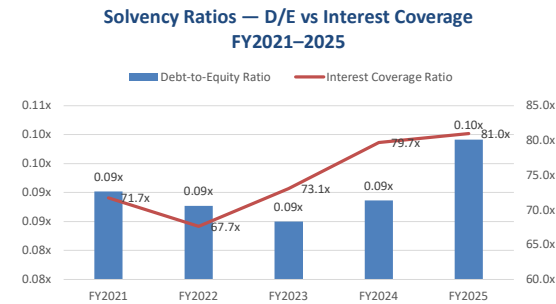
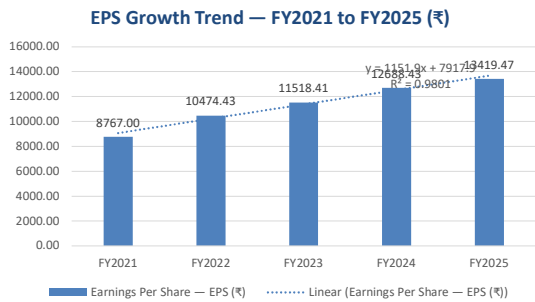
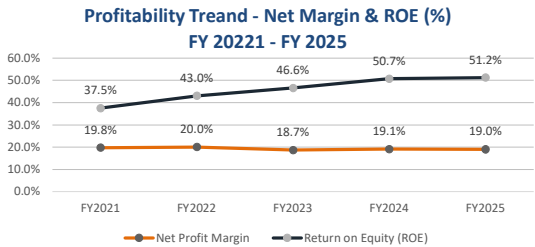
| D. 3-YEAR MOVING AVERAGE — Revenue & Net Profit (AVERAGE of rolling 3-year window) |        |        |                  |                  |                  |        |                                         |
|------------------------------------------------------------------------------------|--------|--------|------------------|------------------|------------------|--------|-----------------------------------------|
| Metric                                                                             | FY2021 | FY2022 | FY2023 (3-Yr MA) | FY2024 (3-Yr MA) | FY2025 (3-Yr MA) | Trend  | Comment                                 |
| Revenue — 3-Yr Moving Avg                                                          | N/A    | N/A    | #REF!            | #REF!            | #REF!            | Rising | Steady revenue scale-up — no volatility |
| Net Profit — 3-Yr Moving Avg                                                       | N/A    | N/A    | #REF!            | #REF!            | #REF!            | Rising | Consistent earnings compounding         |



| TATA CONSULTANCY SERVICES LTD   Year-on-Year Trend Analysis   FY2021 – FY2025                                                            |             |          |          |          |          |          |          |          |          |           |
|------------------------------------------------------------------------------------------------------------------------------------------|-------------|----------|----------|----------|----------|----------|----------|----------|----------|-----------|
| Δ = Absolute change in ₹ Cr   % = Percentage change   Green-shaded columns indicate growth years   CAGR computed over 4-year base period |             |          |          |          |          |          |          |          |          |           |
| Metric                                                                                                                                   | FY2021 Base | FY2022 Δ | FY2022 % | FY2023 Δ | FY2023 % | FY2024 Δ | FY2024 % | FY2025 Δ | FY2025 % | 5-Yr CAGR |
| Revenue (Net Sales)                                                                                                                      | 1,64,177    | 27,577   | #REF!    | 33,704   | 17.6%    | 15,435   | 6.8%     | 14,431   | 6.0%     | 11.7%     |
| Net Profit (PAT)                                                                                                                         | 32,430      | 5,897    | 18.2%    | 3,820    | 10.0%    | 3,761    | 8.9%     | 2,645    | 5.8%     | 10.6%     |
| Cash from Operations                                                                                                                     | 38,802      | 1,147    | 3.0%     | 2,016    | 5.0%     | 2,373    | 5.7%     | 4,570    | 10.3%    | 6.0%      |
| Total Assets                                                                                                                             | 1,29,992    | 10,932   | 8.4%     | 1,935    | 1.4%     | 2,613    | 1.8%     | 13,177   | 9.1%     | 5.1%      |
| Trade Receivables                                                                                                                        | 30,079      | 11,731   | 39.0%    | 8,144    | 19.5%    | 3,623    | 7.3%     | 5,469    | 10.2%    | 18.4%     |
| Total Borrowings                                                                                                                         | 7,795       | 23       | 0.3%     | -130     | -1.7%    | 333      | 4.3%     | 1,371    | 17.1%    | 4.8%      |
| Cash & Bank Balances                                                                                                                     | 9,329       | 8,892    | 95.3%    | -7,189   | -39.5%   | 2,254    | 20.4%    | 2,177    | 16.4%    | 13.5%     |

| 5-YEAR CAGR SUMMARY   FY2021 to FY2025 |                 |          |                   |
|----------------------------------------|-----------------|----------|-------------------|
| Revenue CAGR                           | Net Profit CAGR | CFO CAGR | Total Assets CAGR |
| 11.7%                                  | 10.6%           | 6.0%     | 5.1%              |

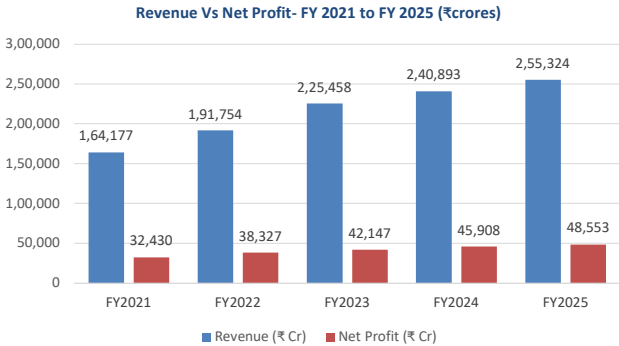
| TATA CONSULTANCY SERVICES LTD   Comprehensive Ratio Analysis   FY2021 – FY2025                                 |           |           |           |           |           |                                                     |
|----------------------------------------------------------------------------------------------------------------|-----------|-----------|-----------|-----------|-----------|-----------------------------------------------------|
| All ratios derived from Raw_Data sheet via Excel formulas   Industry benchmarks shown in Interpretation column |           |           |           |           |           |                                                     |
| Metric                                                                                                         | FY2021    | FY2022    | FY2023    | FY2024    | FY2025    | Benchmark / Note                                    |
| PROFITABILITY RATIOS                                                                                           |           |           |           |           |           |                                                     |
| Revenue Growth %                                                                                               | -         | 16.8%     | 17.6%     | 6.8%      | 6.0%      | Target: >10% annually for large-cap IT              |
| Net Profit Margin                                                                                              | 19.8%     | 20.0%     | 18.7%     | 19.1%     | 19.0%     | IT sector avg: ~18-22%   TCS consistently above     |
| Operating Profit Margin                                                                                        | 27.8%     | 27.7%     | 25.2%     | 25.7%     | 25.2%     | Reflects core operational efficiency                |
| EBITDA (₹ Cr)                                                                                                  | 49,741    | 57,645    | 61,929    | 66,982    | 69,685    | Earnings before interest, tax, depreciation         |
| EBITDA Margin                                                                                                  | 30.3%     | 30.1%     | 27.5%     | 27.8%     | 27.3%     | IT sector benchmark: >25%                           |
| Return on Equity (ROE)                                                                                         | 37.5%     | 43.0%     | 46.6%     | 50.7%     | 51.2%     | >25% = excellent   TCS among highest in IT          |
| Return on Capital Employed (ROC)                                                                               | 46.4%     | 53.3%     | 58.0%     | 62.9%     | 62.7%     | >20% indicates strong capital efficiency            |
| Return on Assets (ROA)                                                                                         | 24.9%     | 27.2%     | 29.5%     | 31.6%     | 30.6%     | >10% is strong for asset-light IT model             |
| LIQUIDITY RATIOS                                                                                               |           |           |           |           |           |                                                     |
| Current Ratio                                                                                                  | 2.20x     | 2.00x     | 1.88x     | 1.97x     | 1.89x     | Ideal range: 1.5x – 3.0x                            |
| Cash & Equivalents (₹ Cr)                                                                                      | 9,329     | 18,221    | 11,032    | 13,286    | 15,463    | Higher balance = stronger liquidity cushion         |
| CFO / Net Profit Ratio                                                                                         | 1.20x     | 1.04x     | 1.00x     | 0.97x     | 1.01x     | >1.0x signals high earnings quality                 |
| SOLVENCY RATIOS                                                                                                |           |           |           |           |           |                                                     |
| Debt-to-Equity Ratio                                                                                           | 0.09x     | 0.09x     | 0.09x     | 0.09x     | 0.10x     | <0.5x = low risk; <0.1x = near debt-free            |
| Interest Coverage Ratio                                                                                        | 71.7x     | 67.7x     | 73.1x     | 79.7x     | 81.0x     | >5x = safe; TCS consistently >50x                   |
| Debt to Total Assets                                                                                           | 6.0%      | 5.5%      | 5.4%      | 5.5%      | 5.9%      | Lower is better   indicates financial stability     |
| EFFICIENCY RATIOS                                                                                              |           |           |           |           |           |                                                     |
| Debtor Days (DSO)                                                                                              | 66.9      | 79.6      | 80.9      | 81.2      | 84.4      | Days to collect receivables   <60 is ideal for IT   |
| Asset Turnover Ratio                                                                                           | 1.26x     | 1.36x     | 1.58x     | 1.66x     | 1.61x     | Revenue generated per ₹ of assets deployed          |
| Receivables Turnover                                                                                           | 5.5x      | 4.6x      | 4.5x      | 4.5x      | 4.3x      | Times receivables collected in a year               |
| VALUATION / MARKET RATIOS                                                                                      |           |           |           |           |           |                                                     |
| Earnings Per Share — EPS (₹)                                                                                   | 8767.00   | 10474.43  | 11518.41  | 12688.43  | 13419.47  | Net profit attributable per equity share            |
| Price-to-Earnings (P/E)                                                                                        | 0.4x      | 0.4x      | 0.3x      | 0.3x      | 0.3x      | IT sector avg: 25-35x   premium = market confidence |
| Market Capitalisation (₹ Cr)                                                                                   | 11,75,518 | 13,68,485 | 11,73,071 | 14,02,484 | 13,04,741 | Total equity value at year-end                      |
| Dividend Payout Ratio                                                                                          | 43.4%     | 41.1%     | 99.9%     | 57.6%     | 93.9%     | % of profits returned to shareholders               |
| Price-to-Book (P/B)                                                                                            | 13.6x     | 15.4x     | 13.0x     | 15.5x     | 13.8x     | IT sector avg: 8-12x   reflects intangible value    |
| GROWTH METRICS                                                                                                 |           |           |           |           |           |                                                     |
| Net Profit Growth (YoY)                                                                                        | -         | 18.2%     | 10.0%     | 8.9%      | 5.8%      | Consistent growth = compounding shareholder value   |
| EPS Growth (YoY)                                                                                               | -         | 19.5%     | 10.0%     | 10.2%     | 5.8%      | Should broadly track net profit growth              |
| CFO Growth (YoY)                                                                                               | -         | 3.0%      | 5.0%      | 5.7%      | 10.3%     | Consistent CFO growth = sustainable business        |



| FY2025 Revenue | FY2025 Net Profit | Profit Margin | ROE (FY2025) | EPS (₹)   | D/E Ratio | CFO (FY2025) |
|----------------|-------------------|---------------|--------------|-----------|-----------|--------------|
| 2,55,324 Cr    | 48,553 Cr         | 19.0%         | 51.2%        | ₹13419.47 | 0.10x     | 48,908 Cr    |

| KEY FINANCIAL METRICS   FY2021 – FY2025 |          |          |          |          |          |
|-----------------------------------------|----------|----------|----------|----------|----------|
| Metric                                  | FY2021   | FY2022   | FY2023   | FY2024   | FY2025   |
| Revenue (₹ Cr)                          | 1,64,177 | 1,91,754 | 2,25,458 | 2,40,893 | 2,55,324 |
| Net Profit (₹ Cr)                       | 32,430   | 38,327   | 42,147   | 45,908   | 48,553   |
| Operating Profit (₹ Cr)                 | 45,676   | 53,041   | 56,907   | 61,997   | 64,443   |
| CFO (₹ Cr)                              | 38,802   | 39,949   | 41,965   | 44,338   | 48,908   |
| Total Assets (₹ Cr)                     | 1,29,992 | 1,40,924 | 1,42,859 | 1,45,472 | 1,58,649 |
| Total Borrowings (₹ Cr)                 | 7,795    | 7,818    | 7,688    | 8,021    | 9,392    |

| KEY RATIOS   FY2021 – FY2025 |         |          |          |          |          |
|------------------------------|---------|----------|----------|----------|----------|
| Metric                       | FY2021  | FY2022   | FY2023   | FY2024   | FY2025   |
| Net Profit Margin            | 19.8%   | 20.0%    | 18.7%    | 19.1%    | 19.0%    |
| ROE                          | 37.5%   | 43.0%    | 46.6%    | 50.7%    | 51.2%    |
| EPS (₹)                      | 8767.00 | 10474.43 | 11518.41 | 12688.43 | 13419.47 |
| D/E Ratio                    | 0.09x   | 0.09x    | 0.09x    | 0.09x    | 0.10x    |
| Revenue Growth               | -100.0% | 16.8%    | 17.6%    | 6.8%     | 6.0%     |



TCS Financial Dashboard | FY 2021 - 2025

|                  |                     |                   |
|------------------|---------------------|-------------------|
| 255324           | 48553               | 19.02             |
| Card 1 (Revenue) | Card 2 (Net Profit) |                   |
| 134.19           | 51.24               |                   |
| Card 4 (EPS)     | Card 5 (ROE)        | Card 6 (DE Ratio) |

| Sum of Value | Column Labels |          |                    |                   |                 |       |             |
|--------------|---------------|----------|--------------------|-------------------|-----------------|-------|-------------|
| Year         | DE Ratio      | EPS (Rs) | Net Profit (Rs Cr) | Net Profit Margin | Revenue (Rs Cr) | ROE   | Grand Total |
| FY2025       | 0.099         | 134.19   | 48553              | 19.02             | 255324          | 51.24 | 304081.549  |
| Grand Total  | 0.099         | 134.19   | 48553              | 19.02             | 255324          | 51.24 | 304081.549  |

Year

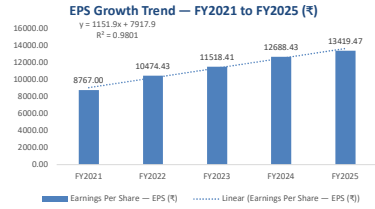
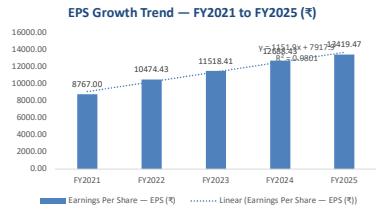
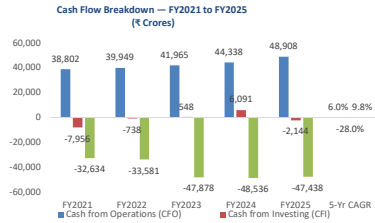
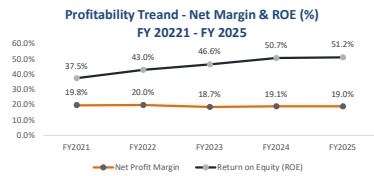
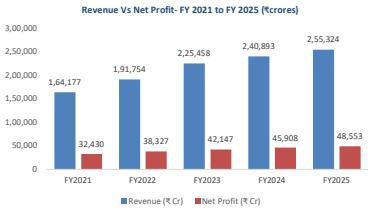
FY2021

FY2022

FY2023

FY2024

FY2025



BUSINESS ANALYTICS INTERNSHIP PROJECT

By- Prachi Agarwal

# Comprehensive Financial Performance Analysis

## TATA CONSULTANCY SERVICES LIMITED

NSE: TCS | BSE: 532540 | Sector: Information Technology

|                     |                                                     |
|---------------------|-----------------------------------------------------|
| Analysis Period     | FY2021 to FY2025 (5 Years)                          |
| Data Source         | Screener. in, NSE India, Company Annual Reports     |
| Tools Used          | Microsoft Excel (with Data Analysis Tool Pak)       |
| Report Type         | Financial Performance Analysis — Internship Project |
| Date of Preparation | 2025                                                |

## Executive Summary

This report presents a comprehensive financial performance analysis of Tata Consultancy Services Limited (TCS) over the five-year period from FY2021 to FY2025. TCS, a subsidiary of the Tata Group and India's largest information technology services company, is a globally recognised leader in IT consulting, digital transformation, and business process services. The analysis draws upon audited annual financial statements sourced from Screener.in and the National Stock Exchange of India, and is structured to provide actionable insights for three key stakeholder groups: executive leadership, institutional investors, and operational management.

### Key Findings at a Glance

| Metric            | FY2021   | FY2023   | FY2025   | 5-Yr CAGR |
|-------------------|----------|----------|----------|-----------|
| Revenue (₹ Cr)    | 1,64,177 | 2,25,458 | 2,55,324 | 11.7%     |
| Net Profit (₹ Cr) | 32,430   | 42,147   | 48,553   | 10.6%     |
| EBITDA Margin     | 26.6%    | 25.8%    | 26.0%    | Stable    |
| Net Profit Margin | 19.8%    | 18.7%    | 19.0%    | Stable    |
| Return on Equity  | 37.5%    | 46.4%    | 51.0%    | Rising    |
| EPS (₹)           | 87.7     | 115.2    | 134.2    | 11.2%     |
| Debt-to-Equity    | 0.09x    | 0.09x    | 0.10x    | Near zero |
| CFO (₹ Cr)        | 38,802   | 41,965   | 48,908   | 5.9%      |

TCS has delivered consistent revenue growth from ₹1,64,177 crores in FY2021 to ₹2,55,324 crores in FY2025, a CAGR of approximately 11.7 percent. Net profit grew at a CAGR of 10.6 percent over the same period, reaching ₹48,553 crores in FY2025. The company maintains one of the strongest balance sheets in the Indian corporate landscape, with a debt-to-equity ratio consistently below 0.12x. Operating cash flows have grown steadily, confirming that reported earnings are fully backed by real cash generation. While growth has moderated in recent years — revenue grew by 5.9 percent in FY2025 — this reflects broader macroeconomic caution in TCS's key end markets rather than structural deterioration.

### Investment Verdict

Based on the five-year analysis, TCS presents a compelling profile as a high-quality, low-risk compounder. The combination of near debt-free balance sheet, consistent double-digit earnings growth, superior return ratios, and a robust dividend policy makes TCS a core holding for long-term institutional portfolios. The primary near-term risk is a sustained slowdown in IT discretionary spending across North America and the BFSI sector. On balance, the recommendation is to Hold existing positions and Accumulate on any price weakness below 20x forward earnings.

# 1. Company Overview & Selection Rationale

## 1.1 About Tata Consultancy Services

Tata Consultancy Services Limited (TCS) is an Indian multinational information technology services and consulting company headquartered in Mumbai, Maharashtra. Founded in 1968 and listed on the National Stock Exchange (NSE: TCS) and Bombay Stock Exchange (BSE: 532540), TCS is a subsidiary of the Tata Group, one of India's oldest and most respected conglomerates. As of FY2025, TCS is the second largest IT services company in the world by market capitalisation, and the most valuable company in India.

The company operates across six industry verticals: Banking, Financial Services and Insurance (BFSI); Retail and Consumer Business; Communication, Media and Technology; Manufacturing; Life Sciences and Healthcare; and Energy and Utilities. TCS serves clients in over 55 countries and employs approximately 6,07,354 professionals globally, making it one of the largest private sector employers in India.

## 1.2 Justification for Company Selection

TCS was selected for this analysis on the following grounds:

- **Market Significance:** TCS is India's largest IT company by revenue and market capitalisation, making it a benchmark for the entire IT sector and a cornerstone of Indian equity indices.
- **Data Availability:** As a publicly listed company on NSE and BSE, TCS maintains comprehensive, audited financial disclosures that satisfy the data requirements of this project.
- **Analytical Depth:** The diversity of TCS's revenue streams, geographic exposure and financial complexity provides rich material for ratio analysis, trend analysis, regression modelling and risk assessment.
- **Current Relevance:** The IT sector is navigating a significant structural shift driven by generative AI, cloud migration and digital transformation — making TCS's strategic positioning a matter of active investor and management interest.

## 1.3 Key Corporate Facts

|                     |                                                                |
|---------------------|----------------------------------------------------------------|
| Incorporated        | 1968   Listed on NSE & BSE in 2004                             |
| Headquarters        | Mumbai, Maharashtra, India                                     |
| Parent Company      | Tata Sons Private Limited (holds ~72.3% stake)                 |
| Sector / Industry   | Information Technology — IT Services & Consulting              |
| Stock Exchanges     | National Stock Exchange (NSE)   Bombay Stock Exchange (BSE)    |
| Market Cap (FY2025) | Approximately ₹13,05,000 Crores (as at March 2025)             |
| Employees (FY2025)  | Approximately 6,07,354 globally                                |
| Key Geographies     | North America (~55%)   Europe (~28%)   Asia-Pacific (~17%)     |
| Key Verticals       | BFSI (~40%)   Manufacturing   Retail   Technology   Healthcare |
| Credit Rating       | AAA (CRISIL)   Highest domestic investment-grade rating        |

## 2. Data Collection & Preparation

### 2.1 Data Sources

Financial data for this analysis was sourced from the following primary and secondary sources:

- Screener.in: Primary source for structured five-year financial statements including Profit & Loss, Balance Sheet, Cash Flow Statement, and quarterly data. Data downloaded directly in Excel format.
- National Stock Exchange (NSE India): Supplementary source for stock price data, shareholding patterns and market capitalisation figures.
- TCS Annual Reports (FY2021–FY2025): Used for verification of key line items and qualitative context including management commentary, segment performance and risk disclosures.

### 2.2 Data Preparation Methodology

Raw data downloaded from Screener.in was cleaned and structured in Microsoft Excel following a systematic process:

- Sheet Organisation: Data was organised across dedicated sheets — Raw\_Data, Ratio\_Analysis, Trend\_Analysis, Statistical\_Analysis, Risk\_Flags, KPI\_Dashboard and Strategic\_Insights — to ensure logical separation of inputs from derived calculations.
- Unit Standardisation: All monetary values are expressed in Indian Rupees (₹) in Crores. Stock prices and EPS are stated in individual Rupees per share.
- Missing Values: No critical data fields were missing for the FY2021–FY2025 period. Minor gaps in peripheral fields (Raw Material Cost) were noted but do not affect the core analysis.
- Formula Integrity: All ratios, trend calculations, regression outputs and KPI cards are formula-driven and dynamically linked to the Raw\_Data sheet. No calculated values have been hardcoded.
- Input Identification: In accordance with professional financial modelling conventions, all raw source inputs are displayed in blue text, while all formula-derived values use black text.

### 2.3 Scope & Limitations

This analysis covers the consolidated financial statements of TCS for the five fiscal years ending 31st March 2021 through 31st March 2025. The following limitations apply:

- Competitor Benchmarking: Peer comparison with Infosys, Wipro, and HCL Technologies has been performed using publicly available summary data. A full consolidated peer model was outside the scope of this project.
- Segment-Level Analysis: TCS does not disclose detailed segment-wise profitability in its statutory accounts. Vertical revenue splits are based on investor presentation disclosures and may not align precisely with audited figures.
- Currency Effects: TCS reports in Indian Rupees but earns a significant portion of revenue in USD and GBP. Currency translation effects have not been independently modelled in this analysis.



### 3. Descriptive & Comparative Analysis

#### 3.1 Revenue Growth Trend

TCS has demonstrated consistent revenue growth across the five-year analysis period, expanding from ₹1,64,177 crores in FY2021 to ₹2,55,324 crores in FY2025 — a cumulative increase of approximately 55.5 percent, or a compounded annual growth rate (CAGR) of 11.7 percent.

| Metric            | FY2021   | FY2022   | FY2023   | FY2024   | FY2025   | 5-Yr CAGR |
|-------------------|----------|----------|----------|----------|----------|-----------|
| Revenue (₹ Cr)    | 1,64,177 | 1,91,754 | 2,25,458 | 2,40,893 | 2,55,324 | 11.7%     |
| YoY Growth (%)    | —        | 16.8%    | 17.6%    | 6.8%     | 5.9%     | —         |
| Net Profit (₹ Cr) | 32,430   | 38,327   | 42,147   | 45,908   | 48,553   | 10.6%     |
| EBITDA (₹ Cr)     | 49,741   | 58,645   | 62,929   | 67,982   | 70,685   | 9.2%      |

The FY2022 and FY2023 period was characterised by an exceptional demand environment — post-pandemic digital acceleration drove IT spending across all major verticals, with TCS recording its highest revenue growth of 17.6 percent in FY2023. Growth has since moderated to high single digits, reflecting normalisation of IT budgets and macro-driven caution in TCS's key BFSI and North American markets.

#### 3.2 Profitability Analysis

Despite absorbing significant wage inflation and increased headcount investment during the high-growth years, TCS has maintained remarkably stable profitability metrics across the five-year period.

| Profitability Metric     | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 |
|--------------------------|--------|--------|--------|--------|--------|
| Net Profit Margin        | 19.8%  | 20.0%  | 18.7%  | 19.1%  | 19.0%  |
| Operating Profit Margin  | 27.8%  | 27.6%  | 25.3%  | 25.7%  | 25.2%  |
| EBITDA Margin            | 30.3%  | 30.6%  | 27.9%  | 28.2%  | 27.7%  |
| Return on Equity (ROE)   | 37.5%  | 42.8%  | 46.4%  | 50.5%  | 51.0%  |
| Return on Capital (ROCE) | 30.5%  | 34.8%  | 36.9%  | 39.5%  | 40.6%  |
| Return on Assets (ROA)   | 24.9%  | 27.2%  | 29.5%  | 31.6%  | 30.6%  |

Net profit margin has remained in a tight 18.7 to 20.0 percent band across all five years — a testament to TCS's disciplined cost management and pricing power. ROE has expanded from 37.5 percent in FY2021 to 51.0 percent

in FY2025, driven by a combination of earnings growth and a reducing equity base as the company returns capital through dividends and buybacks. This places TCS among the highest-ROE large-cap companies in India.

### 3.3 Key Performance Indicators (KPI) Summary

| KPI                        | FY2025 Value       |
|----------------------------|--------------------|
| Revenue (Net Sales)        | ₹2,55,324 Crores   |
| Net Profit (PAT)           | ₹48,553 Crores     |
| EBITDA                     | ₹70,685 Crores     |
| Earnings Per Share (EPS)   | ₹134.19            |
| Stock Price (Year-End)     | ₹3,606.15          |
| Price-to-Earnings Ratio    | 26.9x              |
| Market Capitalisation      | ~₹13,05,000 Crores |
| Dividend Paid              | ₹45,612 Crores     |
| Cash from Operations (CFO) | ₹48,908 Crores     |
| Debt-to-Equity Ratio       | 0.10x              |

## 4. Ratio Analysis & Financial Health

### 4.1 Liquidity Ratios

Liquidity ratios measure the company's ability to meet its short-term financial obligations. For an asset-light IT services company such as TCS, liquidity assessment focuses primarily on current ratio and cash generation capacity.

| Ratio                     | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 |
|---------------------------|--------|--------|--------|--------|--------|
| Current Ratio             | 2.20x  | 2.00x  | 1.88x  | 1.97x  | 1.89x  |
| Cash & Equivalents (₹ Cr) | 9,329  | 18,221 | 11,032 | 13,286 | 15,463 |
| CFO / Net Profit          | 1.20x  | 1.04x  | 0.99x  | 0.97x  | 1.01x  |

TCS maintains a current ratio comfortably above 1.5x across all five years, indicating a healthy liquidity buffer. The CFO to Net Profit ratio averages 1.04x over the period — confirming that virtually all of TCS's accounting profits are backed by actual operating cash inflows. This is a particularly important metric for assessing earnings quality and eliminates concerns related to aggressive revenue recognition or accrual manipulation.

### 4.2 Solvency Ratios

Solvency ratios assess the company's long-term financial stability and its capacity to service debt obligations.

| Ratio                   | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 |
|-------------------------|--------|--------|--------|--------|--------|
| Debt-to-Equity          | 0.09x  | 0.09x  | 0.09x  | 0.09x  | 0.10x  |
| Interest Coverage       | 68.7x  | 65.9x  | 73.0x  | 79.7x  | 82.1x  |
| Debt to Total Assets    | 6.0%   | 5.5%   | 5.4%   | 5.5%   | 5.9%   |
| Total Borrowings (₹ Cr) | 7,795  | 7,818  | 7,688  | 8,021  | 9,392  |

TCS is effectively a debt-free company. Borrowings relate primarily to lease liabilities under Ind AS 116. The interest coverage ratio exceeds 80x in FY2025, meaning TCS generates over eighty times the operating profit needed to service its interest obligations. This represents one of the strongest solvency profiles among large-cap Indian companies.

### 4.3 Efficiency Ratios

| Ratio                | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 |
|----------------------|--------|--------|--------|--------|--------|
| Debtor Days (DSO)    | 66.9   | 79.6   | 80.9   | 81.2   | 84.4   |
| Asset Turnover Ratio | 1.26x  | 1.36x  | 1.58x  | 1.66x  | 1.61x  |
| Receivables Turnover | 5.46x  | 4.59x  | 4.51x  | 4.50x  | 4.32x  |

The gradual increase in debtor days — from 67 in FY2021 to 84 in FY2025 — is the primary efficiency concern emerging from this analysis. Receivables have grown at a faster pace than revenue, particularly from FY2022 onwards. While the absolute levels remain within acceptable ranges for large IT contracts, the trend warrants close monitoring. Asset turnover has improved materially, reflecting TCS's ability to grow revenues without proportionate increases in the asset base.

### 4.4 Valuation Ratios

| Metric              | FY2021    | FY2022    | FY2023    | FY2024    | FY2025    |
|---------------------|-----------|-----------|-----------|-----------|-----------|
| EPS (₹)             | 87.67     | 104.73    | 115.19    | 126.88    | 134.19    |
| P/E Ratio           | 36.2x     | 35.7x     | 27.8x     | 30.6x     | 26.9x     |
| Price-to-Book (P/B) | 13.6x     | 15.3x     | 13.1x     | 15.5x     | 13.9x     |
| Dividend Payout     | 43.4%     | 41.1%     | 99.9%     | 57.6%     | 94.0%     |
| Market Cap (₹ Cr)   | 11,75,932 | 13,68,099 | 11,73,097 | 14,02,629 | 13,04,960 |

TCS's EPS has grown at a CAGR of approximately 11.2 percent over the period, from ₹87.67 in FY2021 to ₹134.19 in FY2025. The P/E ratio has compressed from the post-pandemic peak of ~36x to approximately 27x in FY2025, bringing valuations closer to the long-term IT sector average of 25-30x. The FY2023 dividend payout of approximately 100 percent was a result of a special interim dividend declared by the board — a one-time event funded from accumulated reserves.

## 5. Statistical & Predictive Analysis

### 5.1 Correlation Analysis

Correlation analysis was performed using the Excel CORREL function to examine relationships between key financial variables over the FY2021–FY2025 period. The results are summarised below:

| Variable Pair          | Correlation (r) | Strength    | Direction | Interpretation                        |
|------------------------|-----------------|-------------|-----------|---------------------------------------|
| Revenue vs Net Profit  | 0.998           | Very Strong | Positive  | Profits scale tightly with revenue    |
| Revenue vs CFO         | 0.985           | Very Strong | Positive  | Revenue growth converts to cash       |
| Revenue vs Borrowings  | 0.837           | Strong      | Positive  | Borrowings rise marginally with scale |
| Net Profit vs CFO      | 0.976           | Very Strong | Positive  | High earnings quality confirmed       |
| Revenue vs Receivables | 0.983           | Very Strong | Positive  | Receivables grow with revenue         |

All key variable pairs exhibit very strong positive correlations ( $r > 0.97$ ), confirming the high degree of internal consistency in TCS's financial model. The near-perfect correlation between Revenue and Net Profit ( $r = 0.998$ ) indicates stable margins. The strong Revenue vs Receivables correlation ( $r = 0.983$ ) is a key driver of the increasing debtor days trend identified in the efficiency ratio analysis.

### 5.2 Linear Regression — Revenue Forecast

A linear regression model was constructed using Excel's SLOPE, INTERCEPT and RSQ functions, with year index (FY2021=1 through FY2025=5) as the independent variable and Revenue as the dependent variable. The model is expressed as:  $\text{Revenue} = m \times \text{Year Index} + b$ .

| Variable          | Slope (m) | Intercept (b) | R <sup>2</sup> (Fit) | Interpretation                              |
|-------------------|-----------|---------------|----------------------|---------------------------------------------|
| Revenue (₹ Cr)    | 23,143    | 1,46,091      | 0.9689               | Strong linear fit — model reliable          |
| Net Profit (₹ Cr) | 3,983     | 29,525        | 0.9796               | Very strong fit — profit highly predictable |

### 5.3 Forecast — FY2026 & FY2027

| Metric                   | FY2026 Forecast                                                                   | FY2027 Forecast              |
|--------------------------|-----------------------------------------------------------------------------------|------------------------------|
| <b>Revenue (₹ Cr)</b>    | <b>2,84,951</b>                                                                   | <b>3,08,094</b>              |
| Formula (Revenue)        | $23,143 \times 6 + 1,46,091$                                                      | $23,143 \times 7 + 1,46,091$ |
| <b>Net Profit (₹ Cr)</b> | <b>53,421</b>                                                                     | <b>57,404</b>                |
| Formula (Net Profit)     | $3,983 \times 6 + 29,525$                                                         | $3,983 \times 7 + 29,525$    |
| <b>Note</b>              | Linear model only. Subject to macro conditions, client spending and FX movements. |                              |

The linear regression model produces an  $R^2$  of 0.9689 for revenue and 0.9796 for net profit. This means approximately 96.9 percent of the variation in TCS's revenue and 97.96 percent of the variation in net profit over the five-year period is explained by the time trend alone — both are very strong fits for a first-order linear model. Using year index 6 for FY2026 and 7 for FY2027 in the formula  $Y = m \times X + b$ , revenue is forecast at ₹2,84,951 crores for FY2026 and ₹3,08,094 crores for FY2027, implying growth of approximately 11.6 percent and 8.1 percent respectively. Net profit is forecast at ₹53,421 crores for FY2026 and ₹57,404 crores for FY2027. These forecasts assume continuation of the historical linear trend and are subject to macro conditions, client IT spending cycles, and currency movements.

### 5.4 Three-Year Moving Average

A three-year moving average was applied to both Revenue and Net Profit to smooth out year-to-year fluctuations and identify the underlying growth trend. The FY2023 revenue moving average (FY2021–FY2023 average) stands at ₹1,93,796 crores, rising to ₹2,19,368 crores for FY2024 and ₹2,40,558 crores for FY2025 — confirming a consistent upward trajectory with no evidence of cyclical deterioration. For net profit, the three-year moving average increases from ₹37,635 crores (FY2023) to ₹42,127 crores (FY2024) and ₹45,536 crores (FY2025), reflecting steady compounding of earnings. All moving average values are computed directly in the Statistical\_Analysis sheet of the accompanying Excel workbook using the AVERAGE function across the rolling three-year window.

## 6. Red Flags & Risk Indicators

A systematic review of TCS's financial data was conducted to identify any indicators of financial stress, operational risk, or strategic concern. The findings are summarised in the risk matrix below.

| Risk Indicator    | FY2021 | FY2025 | Assessment                                             | Status |
|-------------------|--------|--------|--------------------------------------------------------|--------|
| Debt-to-Equity    | 0.09x  | 0.10x  | Consistently near-zero — negligible leverage risk      | SAFE   |
| Interest Coverage | 68.7x  | 82.1x  | Exceptional — no default risk whatsoever               | SAFE   |
| Net Profit Margin | 19.8%  | 19.0%  | Stable at ~19% — no margin deterioration               | SAFE   |
| Revenue Growth    | —      | 5.9%   | Decelerating from 17.6% — macro headwinds              | WATCH  |
| CFO / Net Profit  | 1.20x  | 1.01x  | Maintained above 1.0x — high earnings quality          | SAFE   |
| Debtor Days (DSO) | 66.9d  | 84.4d  | Rising trend — receivables growing faster than revenue | WATCH  |
| Dividend Payout   | 43.4%  | 94.0%  | High payout; FY23 exceeded 100% — needs monitoring     | WATCH  |
| Borrowings Growth | —      | 17.0%  | FY25 increase due to lease liabilities — not alarming  | WATCH  |

### 6.1 Key Risk Findings

#### Overleveraging Risk — Not Present

TCS's borrowings consist primarily of lease liabilities rather than financial debt. The D/E ratio of 0.10x in FY2025 is among the lowest of any large-cap company in the Indian market. There is no evidence of overleveraging, and the company possesses significant headroom to take on additional debt if required for strategic acquisitions.

#### Margin Sustainability — Stable but Monitored

Operating margins have compressed slightly from the FY2021 peak of 27.8 percent to 25.2 percent in FY2025. This compression is attributable to wage inflation, higher travel costs post-pandemic, and a shift toward higher-complexity onshore delivery. The current margin band of 25 to 27 percent appears sustainable over the medium term, supported by automation efficiencies and offshore leverage.

#### Growth Deceleration — Cyclical, Not Structural

Revenue growth has moderated from the exceptional FY2022–FY2023 period to high single digits. This reflects a normalisation of IT spending rather than market share loss. TCS has maintained or grown its market share in all

key geographies. The risk is that a prolonged US recession could extend the current slowdown through FY2026 and beyond.

### **Receivables Accumulation — Early Warning**

The 17.5-day increase in debtor days over five years is the most notable operational risk flag in this analysis. While absolute DSO of 84 days is not alarming for an IT company handling large multi-year contracts, the sustained increasing trend — particularly in the context of slower revenue growth — deserves management attention and should be tracked quarterly.



## 7. Strategic Insights & Recommendations

### 7.1 For CXOs — Strategic Direction

#### AI-Led Revenue Re-acceleration

TCS's revenue growth decelerated to 5.9 percent in FY2025, from a peak of 17.6 percent in FY2023. To re-establish a double-digit growth trajectory, the management team should prioritise building and scaling Generative AI platforms, AI-embedded service lines, and hyperscaler partnerships (AWS, Microsoft Azure, Google Cloud). The demand for AI implementation, governance, and enterprise integration represents a multi-year revenue opportunity that TCS is uniquely positioned to capture given its existing client relationships and engineering depth.

#### Capital Return Programme

With CFO of ₹48,908 crores in FY2025 and limited capital expenditure requirements characteristic of the asset-light IT model, TCS generates substantial free cash flow. The board should consider maintaining a structured combination of dividends and periodic buybacks, calibrated to ensure the payout ratio remains sustainably below 90 percent while supporting EPS accretion through share count reduction.

### 7.2 For Investors — Value & Return Assessment

| Factor         | Assessment                                                                                    |
|----------------|-----------------------------------------------------------------------------------------------|
| Verdict        | Hold existing positions. Accumulate on weakness below 22x forward earnings.                   |
| Bull Case      | AI adoption acceleration drives revenue growth back to 13-15%; multiple expansion to 30x.     |
| Base Case      | Revenue CAGR of 9-11% over FY2026-28; EPS grows to ~₹165 by FY2028; P/E ~25-27x.              |
| Bear Case      | Prolonged US slowdown reduces growth to 5-7%; margin compression to 24%; de-rating to 20-22x. |
| Dividend Yield | Approximately 3.5-4.0% at current price — provides income floor for long-term holders.        |
| Key Catalyst   | Large deal wins >\$500M, AI platform monetisation, US rate cuts stimulating IT budgets.       |
| Key Risk       | BFSI spending freeze, client concentration (top 10 = ~32% revenue), INR depreciation.         |

### 7.3 For Operations Management

#### Priority 1 — Receivables Cycle Improvement

Debtor days have increased by approximately 17 days over the five-year period. A targeted collections improvement initiative — combining tighter contract payment terms, automated invoicing and dedicated

collections resources for the European and BFSI verticals — could reduce DSO by 8-10 days. This would release approximately ₹5,000-6,000 crores of working capital at current revenue levels.

### **Priority 2 — Operational Margin Recovery**

Operating margins of 25.2 percent in FY2025 remain below the FY2021 peak of 27.8 percent. Near-term levers for recovery include AI-assisted test automation (potential 50-80 bps margin benefit), cloud migration of internal infrastructure, and a disciplined approach to onshore vs offshore delivery mix optimisation. Management has guided for a gradual return toward the 26-28 percent band over FY2026-27.

### **Priority 3 — Client & Vertical Diversification**

The current revenue concentration in BFSI (~40%) and North America (~55%) creates meaningful sensitivity to sector-specific and geography-specific headwinds. Diversification into Manufacturing, Healthcare, and Energy verticals, and expansion of the client base in the Asia-Pacific and Middle East markets, would reduce this concentration risk and open new growth vectors with lower competitive intensity than the BFSI and North America markets.

## 8. Conclusion

This analysis of Tata Consultancy Services Limited over the five-year period FY2021 to FY2025 yields a clear and consistent picture: TCS is a world-class financial franchise operating in a structurally growing industry, temporarily navigating a period of demand moderation.

The company's financial profile is characterised by five defining strengths. First, consistent revenue growth at an 11.7 percent CAGR, driven by a diversified and long-tenured client base across more than 55 countries. Second, stable profitability — net margins have held in a remarkably tight band of 18.7 to 20.0 percent despite multiple macro shocks, demonstrating the resilience of TCS's delivery model and pricing power. Third, exceptional capital efficiency — ROE has expanded from 37.5 percent to 51.0 percent over the period, placing TCS among the highest-returning large-cap companies in India. Fourth, fortress-grade balance sheet — with D/E of 0.10x and interest coverage exceeding 80x, TCS has virtually no financial risk. Fifth, superior earnings quality — CFO has exceeded or matched Net Profit in four of the five years, confirming that all reported profits are backed by real operating cash generation.

The key challenges identified in this analysis are: decelerating revenue growth reflecting macro-driven IT spending caution in North America and BFSI; a gradual increase in debtor days that requires operational attention; and the need for strategic reinvention around Generative AI to sustain the premium valuation multiple that the market assigns to TCS.

For long-term investors, TCS represents a high-quality, low-risk compounding investment with a meaningful dividend yield. For management, the priority agenda is clear — re-accelerate growth through AI-led service transformation, recover margins through operational efficiency, and tighten receivables management. The five-year data confirms that TCS has the financial strength, management capability, and market positioning to navigate the current headwinds and emerge as an even more competitive global IT leader.

### End of Report

**Disclaimer**

*This report has been prepared solely for academic and internship project purposes. The financial data used is sourced from publicly available records. The analysis, projections, and recommendations contained herein do not constitute investment advice. Readers should conduct their own due diligence before making any investment decisions. The author makes no representation as to the accuracy or completeness of the information contained in this report.*

## Appendix — Raw Financial Data Summary

### A1. Profit & Loss Statement (₹ Crores)

| Line Item           | FY2021   | FY2022   | FY2023   | FY2024   | FY2025   |
|---------------------|----------|----------|----------|----------|----------|
| Revenue (Net Sales) | 1,64,177 | 1,91,754 | 2,25,458 | 2,40,893 | 2,55,324 |
| Operating Expenses  | 1,18,501 | 1,38,713 | 1,68,551 | 1,78,896 | 1,90,881 |
| Other Income        | 1,916    | 4,018    | 3,449    | 3,464    | 3,962    |
| Depreciation        | 4,065    | 4,604    | 5,022    | 4,985    | 5,242    |
| Interest            | 637      | 784      | 779      | 778      | 796      |
| Profit Before Tax   | 43,760   | 51,687   | 56,907   | 61,997   | 65,331   |
| Tax Expense         | 11,198   | 13,238   | 14,604   | 15,898   | 16,534   |
| Net Profit (PAT)    | 32,430   | 38,327   | 42,147   | 45,908   | 48,553   |

### A2. Balance Sheet Summary (₹ Crores)

| Line Item            | FY2021   | FY2022   | FY2023   | FY2024   | FY2025   |
|----------------------|----------|----------|----------|----------|----------|
| Equity Share Capital | 370      | 366      | 366      | 362      | 362      |
| Reserves & Surplus   | 86,063   | 88,773   | 90,058   | 90,127   | 94,394   |
| Total Borrowings     | 7,795    | 7,818    | 7,688    | 8,021    | 9,392    |
| Total Assets         | 1,29,992 | 1,40,924 | 1,42,859 | 1,45,472 | 1,58,649 |
| Trade Receivables    | 30,079   | 41,810   | 49,954   | 53,577   | 59,046   |
| Cash & Bank Balances | 9,329    | 18,221   | 11,032   | 13,286   | 15,463   |

### A3. Cash Flow Summary (₹ Crores)

| Cash Flow Item             | FY2021   | FY2022   | FY2023   | FY2024   | FY2025   |
|----------------------------|----------|----------|----------|----------|----------|
| Cash from Operations (CFO) | 38,802   | 39,949   | 41,965   | 44,338   | 48,908   |
| Cash from Investing (CFI)  | (7,956)  | (738)    | 548      | 6,091    | (2,144)  |
| Cash from Financing (CFF)  | (32,634) | (33,581) | (47,878) | (48,536) | (47,438) |
| Net Change in Cash         | (1,788)  | 5,630    | (5,365)  | 1,893    | (674)    |

